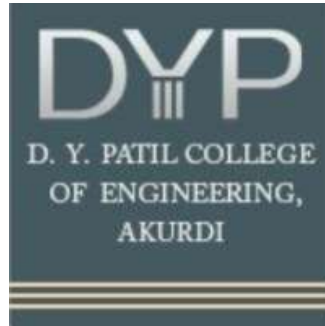


D. Y Patil College of Engineering

Akurdi, Pune-44



Project Report

On

**“Case Study:
Impact of the Israel– Hamas Conflict on Oil and Gold Prices”**

Course: Investment Management

Programme: SY B.Tech (OE)

Semester: IV

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Submitted To

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CERTIFICATE

This is to certify that the report titled “Global Geopolitical Risk and Its Impact on Investment Return – Case Study Analysis”, based on the case study “Impact of the Israel–Hamás Conflict on Oil and Gold Prices,” has been successfully prepared and submitted by Akshada Chaudhari, a student of Second Year B.Tech (Open Elective), Semester IV, during the academic year 2025–2026.

The report has been prepared as a part of Continuous Comprehensive Evaluation – II (CCE–II) for the course Investment Management at D. Y. Patil College of Engineering, Akurdi, Pune.

This report represents the student's independent work and effort in analyzing a real-life geopolitical event and its impact on global financial markets, investment risk, and expected return. The student has successfully applied the concepts of risk–return trade-off, systematic risk, political risk, and investor decision-making, which are part of the course curriculum.

To the best of our knowledge, the work presented in this report is original and has been completed under the guidance and supervision of the course teachers. This report fulfills the academic requirements prescribed for the evaluation of CCE–II

Course Teacher
Dr. Kundan Kale

ACKNOWLEDGEMENT

I would like to express my sincere gratitude to Dr. Kundan Kale and Dr. Milind Darade, course teachers of Investment Management, for providing me with the opportunity to work on this case study report titled “Global Geopolitical Risk and Its Impact on Investment Return – Case Study Analysis.”

Their valuable guidance, encouragement, and support throughout the preparation of this report helped me understand the practical application of investment management concepts such as risk–return trade-off, political risk, market risk, and investor decision-making in financial markets.

I would also like to thank the Department of Computer Engineering at D. Y. Patil College of Engineering, Akurdi, for providing the necessary academic environment and resources to complete this assignment successfully.

This case study has helped me gain a better understanding of how geopolitical events influence global financial markets, commodity prices, and investor behavior. It has also improved my ability to analyze real-world economic situations and apply theoretical investment concepts to practical scenarios.

Finally, I would like to acknowledge the contribution of various financial news websites, economic reports, and research articles that provided useful information and insights for completing this report.

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1.Introduction of the Event

Geopolitical events play an important role in influencing global financial markets and investment decisions. Conflicts between nations, political instability, and international tensions often create uncertainty in the global economy. One recent example of such a geopolitical event is the **Israel– Hamas conflict**, which escalated in October 2023 and had a noticeable impact on financial markets around the world.

The conflict between Israel and Hamas is part of the long-standing tensions between Israel and Palestine. In October 2023, Hamas launched a large-scale attack on Israel using rockets and armed fighters. In response, Israel carried out military operations in Gaza, which intensified the conflict and attracted global attention. This situation created concerns among governments, international organizations, and investors worldwide.

The Middle East is a very important region for the global economy because it contains a large portion of the world's oil reserves. Any conflict in this region can create fears of oil supply disruptions and rising energy prices. When the conflict escalated, investors worried that it could spread to other countries in the Middle East and affect global trade and oil transportation routes.

Due to this uncertainty, financial markets reacted quickly. Oil prices increased because traders feared potential supply shortages. At the same time, investors began moving their funds from risky investments such as stocks to safer assets like gold. Gold is widely considered a safe-haven investment during periods of geopolitical uncertainty.

Overall, the Israel–Hamas conflict demonstrates how geopolitical events can influence commodity prices, investor sentiment, and global financial markets. It highlights the strong connection between political events and investment decisions.

2. Nature of Risk Involved

The Israel– Hamas conflict introduced several types of financial risks that affected global financial markets and investment decisions. In investment management, risk refers to the uncertainty associated with the expected return on an investment. The major risks involved in this case include political risk, market risk, interest rate risk, and inflation risk.

- **Political Risk**

Political risk arises when government actions, wars, conflicts, or diplomatic tensions affect economic stability and investment conditions. The Israel– Hamas conflict increased political instability in the Middle East region.

- **Market Risk**

Market risk refers to the possibility of losses caused by fluctuations in financial markets such as stock prices, commodity prices, and currency values. During the Israel– Hamas conflict, global stock markets experienced volatility because investors reacted quickly to geopolitical news.

- **Interest Rate Risk**

Interest rate risk occurs when changes in interest rates affect the value of investments. Rising oil prices during geopolitical conflicts can lead to higher inflation. To control inflation, central banks may increase interest rates. Higher interest rates increase borrowing costs for businesses and reduce investment activity.

- **Inflation Risk**

Inflation risk occurs when the prices of goods and services rise, reducing the purchasing power of money. During the conflict, oil prices increased due to concerns about supply disruptions. Higher oil prices increased transportation and production costs across many industries, leading to inflation in several economies.



3. Impact on Financial Markets

The Israel– Hamas conflict had a significant impact on global financial markets. Financial markets are highly sensitive to geopolitical events because such events can affect economic stability, trade relations, and investor confidence.

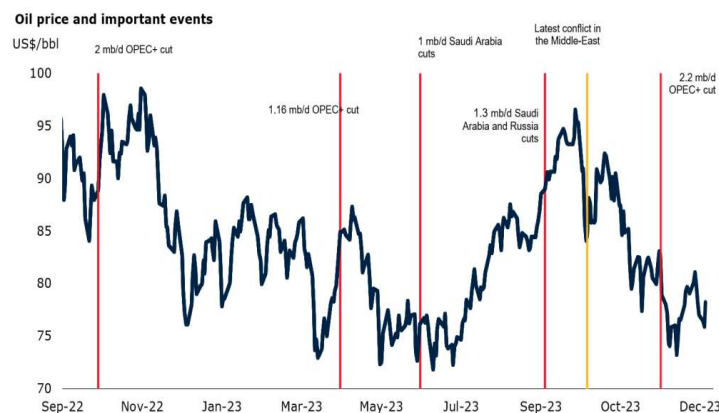
One of the major effects of the conflict was volatility in stock markets. Investors became uncertain about the future economic situation and reacted quickly to news related to the conflict. As a result, many stock markets experienced fluctuations.

Certain industries were more affected than others. For example, airline and transportation companies faced higher operating costs due to rising oil prices. Tourism-related businesses were also affected because geopolitical tensions can discourage international travel.

On the other hand, some sectors benefited from the conflict. Energy companies benefited from higher oil prices, and defense companies experienced increased demand due to rising military spending by governments.

The conflict also affected commodity markets, particularly oil and gold. Oil prices increased because investors feared possible supply disruptions in the Middle East. Gold prices also increased because investors considered gold a safe-haven asset during periods of uncertainty.

Investor sentiment also changed significantly. Many investors became cautious and moved their investments from risky assets such as stocks to safer assets like gold and government bonds.



4. Risk–Return Analysis

The concept of **risk–return trade-off** is one of the most important principles in investment management. According to this concept, investments that offer higher potential returns usually involve higher levels of risk. Investors must therefore carefully evaluate both risk and return when making investment decisions.

During the Israel– Hamas conflict, financial markets experienced increased uncertainty and volatility. Investors were unsure about how the conflict would develop and whether it might spread to other countries in the Middle East. This uncertainty increased the overall level of risk in global markets.

One major effect of the conflict was the increase in **oil prices**. Since the Middle East is an important region for oil production, investors feared that the conflict could disrupt supply. Rising oil prices created opportunities for investors who had invested in energy companies. These investors could potentially earn higher returns due to increased demand and higher prices.

At the same time, the conflict also increased the demand for **gold**, which is considered a safe-haven asset. When investors expect market volatility, they often shift their investments from risky assets to safer investments such as gold. This increased demand led to a rise in gold prices and benefited investors who had already invested in gold.

Stock markets also reflected the risk–return relationship. Some sectors faced negative impacts due to rising costs and uncertainty, while other sectors such as energy and defense experienced growth.



5. Investor Decision

Geopolitical conflicts create uncertainty in financial markets, forcing investors to make careful investment decisions. During such situations, investors generally adopt strategies that help them reduce risk and protect their investments.

One common strategy is the **buy strategy**, where investors purchase assets that perform well during times of uncertainty. Gold is one of the most popular safe-haven investments. During the Israel–Hamas conflict, many investors bought gold because it tends to maintain its value during geopolitical crises.

Another strategy is the **hold strategy**. Some investors prefer to hold their existing investments instead of reacting quickly to short-term market fluctuations. Experienced investors believe that geopolitical conflicts often cause temporary market changes and that markets usually recover over time.

In some cases, investors may adopt a **sell strategy**. If investors believe that certain industries will be negatively affected by the conflict, they may sell their shares to reduce risk. For example, industries such as tourism, aviation, and transportation may face financial losses due to rising oil prices and geopolitical instability.

A very important strategy during geopolitical crises is **diversification**. Diversification means spreading investments across different asset classes such as stocks, bonds, commodities, and precious metals. This helps reduce overall investment risk because losses in one asset can be balanced by gains in another.

By using these strategies, investors can manage risks effectively and make better financial decisions during uncertain situations.



6. Conclusion

The Israel– Hamas conflict demonstrates how geopolitical events can significantly influence global financial markets and investment decisions. Political instability and military conflicts create uncertainty that affects stock markets, commodity prices, and investor confidence.

One of the most visible effects of the conflict was the increase in **oil prices**, due to concerns about possible supply disruptions in the Middle East. Since the region plays a major role in global oil production, any instability can affect energy markets worldwide.

At the same time, **gold prices increased** because investors considered gold a safe-haven asset during periods of uncertainty. Many investors shifted their investments from risky assets such as stocks to safer assets like gold and government bonds.

Stock markets also experienced volatility as investors became cautious about future economic conditions. Some sectors faced losses, while others such as energy and defense benefited from the situation.

This case study highlights the importance of understanding different types of financial risks such as political risk, market risk, interest rate risk, and inflation risk. Investors must carefully analyze global political events and their potential impact on investment returns.

In conclusion, geopolitical risks are an important factor in investment management. Investors who stay informed and adopt strategies such as diversification and long-term planning can manage risks more effectively and make better investment decisions.

7. References

The following sources were used to collect information and analyze the impact of geopolitical events on financial markets:

1. Reuters – Global Financial Market News
2. Bloomberg – Commodity Market Reports
3. International Monetary Fund (IMF) Economic Outlook Reports
4. World Bank Global Economic Updates
5. Financial Times – Global Market Analysis
6. Investopedia – Risk and Return Concepts
7. CNBC – Global Commodity Price Updates